

you were making, and your total Visa payments are now \$185 (\$119 + \$66).

6. And so on.

Each time you systematically pay off one of your debts, you'll have more and more money to pay off the next debt on your list, effectively snowballing the process of paying off your debts. It picks up momentum quickly, and by the end you're blasting through your debts and even your parents get paid.

Here's how our example would play out:

After the Visa is paid off, you have \$210/month for your Mastercard.

After the Mastercard is paid off, you have \$360 for your student loan.

After the student loan is paid off, you have the full \$450 for your line of credit.

After that, pay off your parents! It will only take you three months, and will get you in their good books for sure.

The total amount of time required to pay off this laundry list of debts: under five years.

This is a long time, but think of it this way: now you're debt-free! You didn't have to toil every month over how much extra cash you can throw at the never-ending debt load, and

you minimized every single dollar of interest you possibly could.

The trick is, you need to continue to allocate the same amount of money (or more) toward your overall debt every month until all your debts are paid off. If after tackling one or two cards you decide you can decrease your monthly allocation toward your debts, you'll only prolong the process and end up paying a ton of interest. A little bit of short-term pain makes for lots of long-term gain. You deserve it!

HIGH-INTEREST FIRST VS. LOW-BALANCE FIRST DEBT REDUCTION

There are other debt elimination plans that would have you pay off the lowest balance first, instead of the highest-interest debt. The reason for this is the feeling of satisfaction you get from knocking off a debt from the pile, even though you may be doling out more interest dollars on a higher balance elsewhere.

The wrong person without enough dedication to the plan outlined in this article might give up if the first few debts were slow to be paid off. For example, if your department store card had the \$6,000 balance, it would take you over three years just to pay off your first debt. That's a long time